

The Short Sale Alternative

A short sale is when a sale is arranged for less than the outstanding mortgage. Obviously, the seller's lender must agree to the terms of this transaction. Generally a seller will qualify for a short sale only if she can show some sort of financial hardship and a house that is "underwater" financially, i.e., the debt to which the home is subject exceeds its fair market value. Financial hardship can be due to death, disability, divorce, unemployment, bankruptcy, etc. Since a third-party lender is involved in the transaction process the real estate contract period is usually substantially longer than normal. The lender might favor a short sale over a loan foreclosure since they would not have to go through the eviction and auction process, which can be quite costly and time-consuming.



A new program makes it somewhat easier to qualify for a short sale, called the Home Affordable Foreclosure Alternatives (HAFA) program. You can find details at www.makinghomeaffordable.gov.

Tax Ramifications

Usually if a debt is forgiven, that amount will be included in the debtor's taxable income unless the debtor is insolvent both before and after the debt forgiveness. However, a law in existence from 2007 to 2012 gives debtors relief from this provision for up to \$2 million of debt forgiven if the home qualifies as a qualified principal residence indebtedness. This would include any debt incurred in acquiring, constructing, or substantially improving a principal residence, and any debt secured by the principal residence resulting from the refinancing of debt incurred to acquire, construct, or